



Photo: Kridi/Corbis News/Getty Images

Chapter Preview

If you are thinking of purchasing **Best Buy** stock, or any stock, how can you decide what the shares are worth? If you manage **Columbia Sportswear's** credit department, how should you determine whether to extend credit to a new customer? If you are a financial executive at **Alphabet Inc. (Google)**, how do you decide whether your company is generating adequate cash to expand operations without borrowing? Your decision in each of these situations will be influenced by a variety of considerations. One of them should be your careful analysis of a company's financial statements. In this chapter, we take a closer look at the balance sheet and introduce some useful ways for evaluating the information provided by the financial statements. We begin by introducing the classified balance sheet.

Feature Story

Just Fooling Around?

Two early pioneers in providing investment information online to the masses were Tom and David Gardner, brothers who created an online investor website called **The Motley Fool**. The name comes from Shakespeare's *As You Like It*. The fool in Shakespeare's play was the only one who could speak unpleasant truths to kings and queens without being killed. Tom and David view themselves as 21st-century "fools," revealing the "truths" of the stock market to the **small investor**, who they feel has been taken advantage of by Wall Street insiders.

The Motley Fool's online bulletin board enables investors to exchange information and insights about companies. (Similar services are provided by **TikTok**, **Twitter**, **Reddit**, **Mot**, and others.)

Critics of these bulletin boards contend that they are simply high-tech rumormongers that cause investors to bid up stock prices to unreasonable levels. For example, the stock of **PairGain Technologies** jumped 32% in a single day as a result of a bogus takeover rumor on an investment bulletin board. Some observers are concerned that small investors—ironically, the very people the Gardner brothers are trying to help—will be hurt the most by misinformation and intentional scams.

Rather than getting swept away by rumors, investors must sort out the good information from the bad. One thing is certain—as information services such as The Motley Fool increase in number, gathering information will become even easier. Evaluating it will be the harder task.

Chapter Outline

LEARNING OBJECTIVES	REVIEW	PRACTICE
LO 1 Identify the sections of a classified balance sheet.	- Current assets - Long-term investments - Property, plant, and equipment - Intangible assets - Current liabilities - Long-term liabilities - Stockholders' equity	DO IT 1a Assets Section of Classified Balance Sheet 1b Balance Sheet Classifications
LO 2 Use ratios to evaluate a company's balance sheet.	- Ratio analysis - Using a classified balance sheet	DO IT 2a Working Capital and Current Ratio 2b Working Capital and Current Ratio 2c Debt to Assets Ratio
Go to the Review and Practice section at the end of the chapter for a targeted summary and practice applications with solutions. Additional tutorials and practice opportunities are available in the Wiley online course.		

2.1 The Classified Balance Sheet

LEARNING OBJECTIVE 1

Identify the sections of a classified balance sheet.

A balance sheet presents a **snapshot of a company's financial position at a point in time**. It lists individual asset, liability, and stockholders' equity items. To improve users' understanding of a company's financial position, companies often prepare what is referred to as a **classified balance sheet instead**.

- A **classified balance sheet groups together** similar assets and similar liabilities, using a number of standard classifications and sections.
- This is useful because items within a group have similar economic characteristics.

A classified balance sheet generally contains the standard classifications listed in **Illustration 2.1**.

ILLUSTRATION 2.1 Standard balance sheet classifications

Assets	Liabilities and Stockholders' Equity
Current assets	Current liabilities

These groupings help financial statement readers determine such things as:

1. Whether the company has enough assets to pay its debts as they come due.
2. The claims of short- and long-term creditors on the company's total assets.

Many of these groupings can be seen in the balance sheet of Franklin Corporation shown in [Illustration 3.2](#) (see [Helpful Hint](#)). In the sections that follow, we explain each of these groupings.

ILLUSTRATION 3.2 Classified balance sheet

Franklin Corporation Balance Sheet October 31, 2027			
Assets			
Current assets			
Cash		\$ 6,600	
Debt investments		2,000	
Accounts receivable		7,000	
Notes receivable		1,000	
Inventory		3,000	
Supplies		2,100	
Prepaid insurance		400	
Total current assets			\$22,100
Long-term investments			
Stock investments		5,200	
Investment in real estate		2,000	7,200
Property, plant, and equipment			
Land		10,000	
Equipment	\$24,000		
Less: Accumulated depreciation—equipment	5,000	19,000	29,000
Intangible assets			
Patents			3,100
Total assets			\$61,400
Liabilities and Stockholders' Equity			
Current liabilities			
Notes payable		\$11,000	
Accounts payable		2,100	
Unearned sales revenue		500	
Salaries and wages payable		1,600	
Interest payable		400	
Total current liabilities			\$16,050
Long-term liabilities			
Mortgage payable		10,000	
Notes payable		1,300	
Total long-term liabilities			11,300
Total liabilities			27,350
Stockholders' equity			
Common stock		14,000	
Retained earnings		20,050	
Total stockholders' equity			34,050
Total liabilities and stockholders' equity			\$61,400

HELPFUL HINT

Recall that the accounting equation is Assets = Liabilities + Stockholders' Equity.

Current Assets

Current assets are defined as follows:

- Assets that a company expects to convert to cash or use up within one year or its operating cycle, whichever is longer. In [Illustration 3.2](#), Franklin Corporation had current assets of \$22,100.
- For most businesses, the cutoff for classification as current assets is one year from the balance sheet date.

For example, accounts receivable are current assets because the company will collect them and convert them to cash within one year. Supplies is a current asset because the company expects to use the supplies in operations within one year.

Some companies use a period longer than one year to classify assets and liabilities as current because they have an operating cycle longer than one year.

- The **operating cycle** of a company is the average time required to go from cash to cash in producing revenue—to purchase inventory, sell it on account, and then collect cash from customers.
- For most businesses, this cycle takes less than a year, so they use a one-year cutoff.
- But for some businesses, such as vineyards or airplane manufacturers, this period may be longer than a year.

Except where noted, we will assume that companies use one year to determine whether an asset or liability is current or long-term.

Companies list current assets in order of **liquidity**, that is, the order in which they expect to convert them into cash (follow this rule when doing your homework). Common types of current assets, listed in order of liquidity, are:

1. Cash.
2. Investments (such as short-term U.S. government securities).
3. Receivables (accounts receivable, notes receivable, and interest receivable).
4. Inventories.
5. Prepaid expenses (insurance and supplies).

Why are receivables considered more liquid than inventory? Inventory must be sold before it is converted to cash (and is often sold on account), whereas receivables are converted to cash upon collection.

As explained later in the chapter, a company's current assets are important in assessing its short-term debt-paying ability.

Long-Term Investments

Long-term investments generally include the following (see [Alternative Terminology](#)):

- Investments in stocks and bonds of other corporations that are held for more than one year.
- Long-term assets such as land or buildings that a company is not currently using in its operating activities.

- Long-term notes receivable.

ALTERNATIVE TERMINOLOGY

Long-term investments are often referred to simply as *investments*.

In [Illustration 2.2](#), Franklin Corporation reported total long-term investments of \$7,200 on its balance sheet.

Property, Plant, and Equipment

Property, plant, and equipment is defined as follows:
PROPERTY, PLANT, AND EQUIPMENT is acquired on business.

- Assets with relatively long useful lives that are currently used in operating the business (see [Alternative Terminology](#)).
- This category includes land, buildings, equipment, delivery vehicles, and furniture.

ALTERNATIVE TERMINOLOGY

Property, plant, and equipment is sometimes called *fixed assets* or *plant assets*.

In [Illustration 2.2](#), Franklin Corporation reported property, plant, and equipment of \$29,000.

Notice that in [Illustration 2.2](#), Franklin Corporation subtracts \$5,000 in Accumulated Depreciation—Equipment from the Equipment account. **Depreciation** is the systematic allocation of the cost of an asset to expense over number of years (rather than expensing the full purchase price in the year of purchase). The assets that the company depreciates are reported on the balance sheet at cost less accumulated depreciation, often referred to as book value. The **accumulated depreciation** account shows the total amount of depreciation that the company has expensed thus far in the asset's life.

In [Illustration 2.2](#), Franklin Corporation reported accumulated depreciation of \$5,000, so the book value of the equipment is \$10,000 (\$24,000 – \$5,000). In your homework, present each accumulated depreciation account immediately below the related plant asset, as shown in [Illustration 2.2](#) for Franklin Corporation.

Intangible Assets

Many companies have assets that do not have physical substance and yet often are very valuable:

- We call these assets **intangible assets** (see [Helpful Hint](#)).
- One common intangible is goodwill.
- Other intangibles include patents, copyrights, and trademarks or trade names that give the company **exclusive right** of use for a specified period of time.

HELPFUL HINT

Sometimes intangible assets are reported under a broader heading called “Other assets.”

In [Illustration 2.2](#), Franklin Corporation reported intangible assets of \$3,100.

Investor Insight

Best Buy

I Heard It Through the Grapevine



Bloomberg/Getty Images

To show how investor bulletin boards work, suppose that you had \$10,000 to invest. You were considering **Best Buy**, the largest seller of electronics equipment in the United States. You scanned the Internet investor bulletin boards and found messages posted by two different investors. Here are excerpts from actual postings:

TMPVenus: “Where are the prospects for positive movement for this company? Poor margins, poor management, astronomical P/E!”

broachman: “I believe that this is a LONG TERM winner, and presently at a good price.”

One says sell, and one says buy. Which posting should you believe? If at that time you had taken “broachman’s” advice and purchased the stock, the \$10,000 you invested would have been worth over \$300,000 five years later. Best Buy was one of America’s best-performing stocks during that five-year period of time.

How much reliance should you place on information posted to investor bulletin boards when you are considering investing money?

➤ Answer

DO IT! 1a

Assets Section of Classified Balance Sheet

Baxter Hoffman recently received the following information related to Hoffman Corporation’s December 31, 2027, balance sheet.

Prepaid insurance	\$ 2,300	Inventory	\$3,400
Cash	800	Accumulated depreciation—equipment	2,700
Equipment	10,700	Accounts receivable	1,100
Debt investments (long-term)	2,100	Trademarks	4,700

Prepare the assets section of Hoffman Corporation’s classified balance sheet.

ACTION PLAN

- Present current assets first. Current assets are cash and other resources that the company expects to convert to cash or use up within one year.
- Present current assets in the order in which the company expects to convert them into cash.
- Subtract accumulated depreciation—equipment from equipment to determine net equipment.

➤ Solution

Related exercise material: [BE2.2](#), [DO IT! 2.1a](#), [E2.3](#), and [E2.4](#).

Current Liabilities

In the liabilities and stockholders’ equity section of the balance sheet, the first grouping is current liabilities.

- **Current liabilities** are obligations that the company is to pay within the next year or operating cycle, whichever is longer.
- **Current liabilities** are obligations that the company is to pay within the next year or operating cycle, whichever is longer.
- Common examples are accounts payable, salaries and wages payable, notes payable, unearned revenue, interest payable, and income taxes payable.
- Also included as current liabilities are current maturities of long-term obligations—payments to be made within a year of the balance sheet date on long-term obligations.

In [Illustration 2.2](#), Franklin Corporation reported five different types of current liabilities, for a total of \$16,050.

Long-Term Liabilities

Long-term liabilities (long-term debt) are:

- Obligations that a company expects to pay **after** one year.
- Liabilities in this category include bonds payable, mortgages payable, long-term notes payable, lease liabilities, and pension liabilities.

Many companies report long-term debt maturing after one year as a single amount in the balance sheet and show the details of the debt in notes that accompany the financial statements. Others list the various types of long-term liabilities. In [Illustration 2.2](#), Franklin Corporation reported long-term liabilities of \$11,300.

Stockholders' Equity

Stockholders' equity consists of two parts: common stock and retained earnings.

- Companies record as **common stock** the investments of assets into the business by the stockholders (see [Alternative Terminology](#)).
- They record as **retained earnings** the income retained for use in the business.
- These two parts, combined, make up **stockholders' equity** on the balance sheet.

ALTERNATIVE TERMINOLOGY

Common stock is sometimes called *capital stock*.

In [Illustration 2.2](#), Franklin Corporation reported common stock of \$14,000 and retained earnings of \$20,050.

DO IT! 1b

Balance Sheet Classifications

The following financial statement items were taken from the financial statements of Callahan Corp.

_____ Salaries and wages payable	_____ Equipment
_____ Service revenue	_____ Accumulated depreciation—equipment
_____ Interest payable	_____ Depreciation expense
_____ Goodwill	_____ Retained earnings
_____ Debt investments (due in 6 months)	

The following financial statement items were taken from the financial statements of Callahan Corp.

_____ Salaries and wages payable	_____ Equipment
_____ Service revenue	_____ Accumulated depreciation—equipment
_____ Interest payable	_____ Depreciation expense
_____ Goodwill	_____ Retained earnings
_____ Debt investments (due in 2 months)	_____ Unearned service revenue
_____ Mortgage payable (due in 3 years)	
_____ Investment in real estate	

Match each of the items to its proper balance sheet classification, shown below. If the item would not appear on a balance sheet, use "NA."

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

ACTION PLAN

- Analyze whether each financial statement item is an asset, liability, or stockholders' equity item.
- Determine if asset and liability items are current or long-term.

> Solution

Related exercise material: [BE 1, DO IT! 2, 3, 4, 5, 6, 7, 8, 9, 10, and 11](#).

2.2 Analyzing the Balance Sheet Using Ratios

LEARNING OBJECTIVE 2

Use ratios to evaluate a company's balance sheet.

We previously introduced the four financial statements. We discussed how these statements provide information about a company's performance and financial position. Here, we extend this discussion by showing you specific tools that you can use to analyze financial statements in order to make a more meaningful evaluation of a company.

Ratio Analysis

Ratio analysis expresses the relationship among selected items of financial statement data. A **ratio** expresses the mathematical relationship between one quantity and another. For analysis of the primary financial statements, we classify ratios as shown in [Illustration 2.3](#).

ILLUSTRATION 2.3 Financial ratio classifications

 Total Revenue – Total Expenses = Net Income	Profitability Ratios Measure the income or operating success of a company for a given period of time
	Liquidity Ratios Measure short-term ability of the company to pay its maturing obligations and to meet unexpected needs for cash
	Solvency Ratios Measure the ability of the company to survive over a long period of time

A single ratio by itself is not very meaningful. Accordingly, in this and the following chapters, we will use various comparisons to shed light on company performance:

1. **Intracompany comparisons** covering two years for the same company.

2. **Industry-average comparisons** based on average ratios for particular industries.
3. **Intercompany comparisons** based on comparisons with a competitor in the same industry.

Next, we use some ratios and comparisons to analyze the balance sheet of **Best Buy**.

Using a Classified Balance Sheet

You can learn a lot about a company's financial health by also evaluating the relationship between its various assets and liabilities. [Illustration 2.4](#) provides a simplified balance sheet for **Best Buy**.

ILLUSTRATION 2.4 Best Buy's balance sheet

Real World Best Buy Co., Inc. Balance Sheets (in millions)		
	February 1, 2020	February 3, 2019
Assets		
Current assets		
Cash and cash equivalents	\$ 2,229	\$ 1,980
Receivables	1,149	1,015
Merchandise inventories	5,174	5,409
Other current assets	303	466
Total current assets	8,857	8,870
Property and equipment	9,228	9,200
Less: Accumulated depreciation	6,900	6,690
Net property and equipment	2,328	2,510
Other assets	4,406	1,521
Total assets	\$15,591	\$12,901
Liabilities and Stockholders' Equity		
Current liabilities		
Accounts payable	\$ 5,288	\$ 5,257
Unredeemed gift card liabilities	281	290
Accrued compensation payable	410	482
Other current liabilities	2,081	1,484
Total current liabilities	8,060	7,513
Long-term liabilities		
Long-term debt	1,257	1,332
Other long-term liabilities	2,795	750
Total long-term liabilities	4,052	2,082
Total liabilities	12,112	9,595
Stockholders' equity		
Common stock	26	27
Retained earnings and other	3,453	3,279
Total stockholders' equity	3,479	3,306
Total liabilities and stockholders' equity	\$15,591	\$12,901

Liquidity

Suppose you are a banker at **CitiGroup** considering lending money to Best Buy, or you are a sales manager at **Apple** interested in selling computers and cell phones to Best Buy on credit.

- You would be concerned about Best Buy's **liquidity**—its ability to pay obligations expected to become due within the next year or operating cycle.
- You would look closely at the relationship of its current assets to current liabilities.

Working Capital

One measure of liquidity is **working capital**, which is the difference between the amounts of current assets and current liabilities (see [Illustration 2.5](#)).

ILLUSTRATION 2.5 Working capital

$$\text{Working Capital} = \text{Current Assets} - \text{Current Liabilities}$$

- When current assets exceed current liabilities, working capital is positive. When this occurs, there is a greater likelihood that the company will pay its liabilities.
- When working capital is negative, a company might not be able to pay short-term creditors, and the company might ultimately be forced into bankruptcy.

Best Buy had working capital in 2020 of \$797 million (\$8,857 million – \$8,060 million).

Current Ratio

Liquidity ratios measure the short-term ability of the company to pay its maturing obligations and to meet unexpected needs for cash. One liquidity ratio is the **current ratio**, computed as current assets divided by current liabilities (see [Decision Tools](#)).

- The current ratio is a more dependable indicator of liquidity than working capital.
- Two companies with the same amount of working capital may have significantly different current ratios.

Decision Tools

The current ratio helps users determine if a company can meet its near-term obligations.

[Illustration 2.6](#) shows the 2020 and 2019 current ratios for **Best Buy**.

ILLUSTRATION 2.6 Current ratio

Current Ratio = $\frac{\text{Current Assets}}{\text{Current Liabilities}}$ Best Buy (\$ in millions)		
2020		2019
\$8,857		
\$8,060	= 1.10:1	1.18:1

What does the ratio actually mean? Best Buy's 2020 current ratio of 1.10:1 means that for every dollar of current liabilities, Best Buy has \$1.10 of current assets. Best Buy's current ratio decreased in 2020, which suggests its liquidity declined.

One potential weakness of the current ratio is that it does not take into account the **composition** of the current assets.

- A satisfactory current ratio does not disclose whether a portion of the current assets is tied up in slow-moving inventory.

• The composition of the current assets matters because a dollar of cash is more readily available to pay the bills than is a dollar of inventory. For example, suppose a company's cash balance declined while its merchandise inventory increased substantially. If inventory increased because the company is having difficulty selling its products, then the current ratio might not fully reflect the reduction in the company's liquidity (see [Ethics Note](#)).

ETHICS NOTE

A company that has more current assets than current liabilities can increase the ratio of current assets to current liabilities by using cash to pay off some current liabilities. This gives the appearance of being more liquid. Do you think this move is ethical?

Accounting Across the Organization

REL Consultancy Group

Can a Company Be Too Liquid?



(Stock/Adobe Stock)

There actually is a point where a company can be too liquid—that is, it can have too much working capital. While it is important to be liquid enough to be able to pay short-term bills as they come due, a company does not want to tie up its cash in extra inventory or receivables that are not earning the company money.

By one estimate from the **REL Consultancy Group**, the thousand largest U.S. companies had cumulative excess working capital of \$1.017 trillion in a recent year. This was an 18% increase, which REL said represented a “deterioration in the management of operations.” Given that managers throughout a company are interested in improving profitability, it is clear that they should have an eye toward managing working capital. They need to aim for a “Goldilocks solution”—not too much, not too little, but just right.

More recently, a different study found that companies reduced the number of days it took to convert working capital into cash received from customers from 37.1 days down to 35.7 days.

Sources: Adapted from Maxwell Murphy, “The Big Number,” *Wall Street Journal* (November 9, 2011); and Tatyana Shumsky and Nina Trestmann, “Finance Chiefs Look to Free Up Working Capital Ahead of Rate Increases,” *Wall Street Journal* (August 21, 2017).

What can various company managers do to ensure that working capital is managed efficiently to maximize net income?

[Answer](#)

DO IT 2a

Working Capital and Current Ratio

Listed below are assets and liabilities of Steno Corporation for 2027 and 2026. Each is listed in alphabetical order.

Assets	2027	2026	Liabilities	2027	2026
Accounts receivable	\$ 1,600	\$ 1,400	Accounts payable	\$ 2,900	\$ 3,200
Cash	900	800	Bonds payable	21,000	28,000
Equipment (net)	42,000	40,000	Notes payable (current)	1,200	1,500
Inventory	3,800	3,200	Notes payable (long-term)	4,000	4,200
Land	22,000	22,000			
Supplies	400	500			

Steno reported net income of \$48,000 for 2027 and \$42,000 for 2026.

- Compute total current assets and total current liabilities for each year.
- Compute working capital and the current ratio for each year. (Round to two decimal places.)
- Comment on the change in the company's liquidity.

ACTION PLAN

- Current assets are expected to be converted to cash or used within one year or operating cycle, whichever is longer. Current liabilities are expected to be paid within one year or operating cycle, whichever is longer.
- Use the formula for the current ratio: Current assets ÷ Current liabilities.

[Solution](#)

Related exercise material: [BE2.6](#), [DO IT! 2.2](#), [E2.12](#), and [E2.13](#).

Solvency

Now suppose that instead of being a short-term creditor, you are interested in either buying Best Buy's stock or extending the company a long-term loan.

- Long-term creditors and stockholders are interested in a company's **solvency**—its ability to pay interest as it comes due and to repay the balance of a debt due at its maturity.
- Solvency ratios** measure the ability of the company to survive over a long period of time.

Debt to Assets Ratio

The **debt to assets ratio** is one measure of solvency. It is calculated by dividing total liabilities (both current and long-term) by total assets. It measures the percentage of total financing provided by creditors rather than stockholders (see [Helpful Hint](#)).

- Debt financing is more risky than equity financing because debt must be repaid at specific points in time, whether the company is performing well or not.
- Thus, the higher the percentage of debt financing, the riskier the company.

HELPFUL HINT

Some users evaluate solvency using a ratio of liabilities divided by stockholders' equity. The higher this “debt to equity” ratio is, the lower the company's solvency.

The higher the percentage of total liabilities (debt) to total assets, the greater the risk that the company may be unable to pay its debts as they come due. [Illustration 9.7](#) shows the debt to assets ratios for Best Buy.

ILLUSTRATION 9.7 Debt to assets ratio

$$\text{Debt to Assets Ratio} = \frac{\text{Total Liabilities}}{\text{Total Assets}}$$

Best Buy

2020		2019	
(\$ in millions)		(\$ in millions)	
\$12,112	= 78%		74%
\$15,591			

The 2020 ratio of 78% means that every dollar of assets was financed by 78 cents of debt. The higher the ratio, the more reliant the company is on debt financing.

- A company with a high debt to assets ratio has a lower equity "buffer" available to creditors if the company becomes insolvent.
- Thus, from the creditors' point of view, a high ratio of debt to assets is undesirable (see [Decision Tools](#)).

Decision Tools

The debt to assets ratio helps users determine if a company can meet its long-term obligations.

The adequacy of this ratio is often judged in light of the company's net income.

- For example, while Best Buy and a competitor, hhgregg, relied on debt financing in a roughly equal fashion, hhgregg went bankrupt.
- This is largely explained by the fact that hhgregg's income was insufficient to pay its debt obligations as they came due.
- Generally, companies with relatively stable earnings, such as public utilities, can support higher debt to assets ratios than can cyclical companies with widely fluctuating earnings, such as many high-tech companies.

In later chapters, you will learn additional ways to evaluate solvency.

Investor Insight

When Debt Is Good



David Crockett/
Adobe Stock

Debt financing differs greatly across industries and companies. Here are some debt to assets ratios for selected companies in a recent year:

	Debt to Assets Ratio Debt to Assets Ratio
Google	23%
Nike	41%
Microsoft	48%
ExxonMobil	48%
Tesla	76%

Discuss the difference in the debt to assets ratio of Google and Tesla.



DO IT! 2b

Debt to Assets Ratio

Listed below are assets and liabilities of Steno Corporation for 2027 and 2026. Each is listed in alphabetical order.

Assets	2027	2026	Liabilities	2027	2026
Accounts receivable	\$ 1,600	\$ 1,400	Accounts payable	\$ 2,000	\$ 3,200
Cash	900	800	Bonds payable	21,000	28,000
Equipment (net)	42,000	40,000	Notes payable (current)	1,200	1,500
Inventory	3,800	3,200	Notes payable (long-term)	4,000	4,200
Land	22,000	22,000	Total liabilities	\$29,100	\$36,900
Supplies	400	500			
Total assets	\$70,700	\$67,900			

Steno reported net income of \$48,000 for 2027 and \$42,000 for 2026.

- Compute the debt to assets ratio for each year.
- Comment on the change in the company's solvency.

ACTION PLAN

- Use the formula for the debt to assets ratio: Total liabilities ÷ Total assets.



Related exercise material: BE 5, DO IT! 2a, and Ex. 13.

USING THE DECISION TOOLS

Tweeter Home Entertainment

In this chapter, we evaluated a home electronics giant, **Best Buy**. **Tweeter Home Entertainment** sold consumer electronics products from 154 stores on the East Coast under various names. It specialized in products with high-end features. Tweeter filed for bankruptcy in June 2007 and was acquired by another company in July 2007. Financial data for Tweeter, prior to its bankruptcy, are provided below.

(amounts in millions)	September 30	
	2006	2005
Current assets	\$146.4	\$158.2
Total assets	258.6	284.0
Current liabilities	107.1	119.0
Total liabilities	190.4	201.1
Total common stockholders' equity	68.2	82.9
Net income (loss)	(16.5)	(74.4)

Net cash provided from operations activities

Net cash provided (used) by operating activities	15.0	(20.7)
Capital expenditures (net)	17.4	22.2
Dividends paid	0.0	0.0
Weighted-average shares of common stock (millions)	25.3	24.6

Instructions

Using the data provided, complete the following and discuss how these results might have provided an indication of Tweeter's financial troubles.

1. Calculate the current ratio for Tweeter for 2006 and 2005 and discuss its liquidity position.

1. Calculate the current ratio for Tweeter for 2006 and 2005 and discuss its liquidity position.
2. Calculate the debt to assets ratio for Tweeter for 2006 and 2005 and discuss its solvency.
3. Best Buy's accounting year-end was February 28, 2006; Tweeter's was September 30, 2006. How does this difference affect your ability to compare their profitability?

> Solution

Review and Practice

Learning Objectives Review

1. Identify the sections of a classified balance sheet.

In a classified balance sheet, companies classify assets as current assets; long-term investments; property, plant, and equipment; and intangibles. They classify liabilities as either current or long-term. A stockholders' equity section shows common stock and retained earnings.

2. Use ratios to evaluate a company's balance sheet.

Ratio analysis expresses the relationship among selected items of financial statement data. Liquidity ratios, such as the current ratio, measure the short-term ability of a company to pay its maturing obligations and to meet unexpected needs for cash. Solvency ratios, such as the debt to assets ratio, measure the ability of a company to survive over a long period. Profitability ratios measure aspects of the operating success of a company for a given period of time.

Decision Tools Review

Decision Checkpoints	Info Needed for Decision	Tool to Use for Decision	How to Evaluate Results
Can the company meet its near-term obligations?	Current assets and current liabilities	Current ratio = $\frac{\text{Current assets}}{\text{Current liabilities}}$	Higher ratio suggests favorable liquidity.
Can the company meet its long-term obligations?	Total liabilities and total assets	Debt to assets ratio = $\frac{\text{Total liabilities}}{\text{Total assets}}$	Lower value suggests favorable solvency.

Glossary Review

Classified balance sheet

A balance sheet that groups together similar assets and similar liabilities, using a number of standard classifications and sections.

Current assets

Assets that a company expects to convert to cash or use up within one year or the operating cycle, whichever is longer.

Current liabilities

Obligations that a company expects to pay within the next year or operating cycle, whichever is longer.

Current ratio

A measure of liquidity computed as current assets divided by current liabilities.

Debt to assets ratio

measure of solvency calculated as total liabilities divided by total assets. It measures the percentage of total financing provided by creditors.

Intangible assets

Assets that do not have physical substance.

Liquidity

The ability of a company to pay obligations that are expected to become due within the next year or operating cycle.

Liquidity ratios

Measures of the short-term ability of a company to pay its maturing obligations and to meet unexpected needs for cash.

Long-term investments

Generally, (1) investments in stocks and bonds of other corporations that a company holds for more than one year; (2) long-term assets, such as land and buildings, not currently being used in the company's operations; and (3) long-term notes receivable.

Long-term liabilities (long-term debt)

Obligations that a company expects to pay after one year.

Operating cycle

The average time required to purchase inventory, sell it on account, and then collect cash from customers—that is, go from cash to cash in producing revenue.

Property, plant, and equipment

Assets with relatively long useful lives that are currently used in operating the business.

Ratio

An expression of the mathematical relationship between one quantity and another.

Ratio analysis

A technique that expresses the relationship among selected items of financial statement data.

Solvency

The ability of a company to pay interest as it comes due and to repay the balance of debt due at its maturity.

Solvency ratios

Measures of the ability of a company to survive over a long period of time.

Working capital

The difference between the amounts of current assets and current liabilities.

Practice Multiple-Choice Questions

1. (LO 1) In a classified balance sheet, assets are usually classified as:
 - a. current assets; long-term assets; property, plant, and equipment; and intangible assets.
 - b. current assets; long-term investments; property, plant, and equipment; and common stock.
 - c. current assets; long-term investments; tangible assets; and intangible assets.
 - d. current assets; long-term investments; property, plant, and equipment; and intangible assets.

> Solution

2. (LO 1) Current assets are listed:
 - a. by order of expected conversion to cash.
 - b. by importance.
 - c. by longevity.
 - d. alphabetically.

> Solution

3. (LO 1) The correct order of presentation in a classified balance sheet for the following current assets is:
 - a. accounts receivable, cash, prepaid insurance, inventory.
 - b. cash, inventory, accounts receivable, prepaid insurance.
 - c. cash, accounts receivable, inventory, prepaid insurance.
 - d. inventory, cash, accounts receivable, prepaid insurance.

> Solution

4. (LO 1) A company has purchased a tract of land. It expects to build a production plant on the land in approximately 5 years. During the 5 years before construction, the land will be idle. The land should be reported as:
 - a. property, plant, and equipment.

- c. a long-term investment.
- d. an intangible asset.

Solution

5. (LO 1) The balance in retained earnings is **not** affected by:

- a. net income.
- b. net loss.
- c. issuance of common stock.
- d. dividends.

Solution

6. (LO 1) The long-term investment category in a classified balance sheet includes each of the following **except**:

- a. long-term notes receivable.
- b. stock and bonds purchased and intended to be held for more than one year.
- c. a factory currently in use for production.
- d. land not currently used in operations.

Solution

7. (LO 2) Which is an indicator of solvency?

- a. Current ratio.
- b. Working capital.
- c. Debt to assets ratio.
- d. Both current ratio and working capital.

Solution

8. (LO 2) Companies that can support higher debt to assets ratios are characterized by having:

- a. stable earnings.
- b. fluctuating earnings.
- c. few plant assets.
- d. low amounts of receivables.

Solution

9. (LO 2) Which of these measures is an evaluation of a company's ability to pay current liabilities?

- a. Total assets.
- b. Current ratio.
- c. Both total assets and current ratio.
- d. None of the answer choices are correct.

Solution

10. (LO 2) The following ratios are available for Reilly Inc. and O'Hare Inc.

	Current Ratio	Debt to Assets Ratio
Reilly Inc.	2:1	75%
O'Hare Inc.	1.5:1	40%

Compared to O'Hare Inc., Reilly Inc. has:

- a. higher liquidity, higher solvency, and higher profitability.
- b. lower liquidity, higher solvency, and higher profitability.
- c. higher liquidity, lower solvency, and higher profitability.
- d. higher liquidity and lower solvency, but profitability cannot be compared based on information provided.

Solution

Practice Brief Exercises

Prepare the current assets section of a balance sheet.

1. (LO 1) A list of financial statement items for Mignel Company includes the following: Accounts Receivable \$25,000, Prepaid Insurance \$7,000, Cash \$8,000, Supplies \$11,000, and Stock Investments (short-term) \$14,000. Prepare the current assets section of the balance sheet, listing the accounts in proper sequence.

Solution

Classify accounts on balance sheet.

2. (LO 1) The following are the major balance sheet classifications:

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

Match each of the following accounts to its proper balance sheet classification.

Prepaid insurance	Unearned service revenue
Notes payable (short-term)	Debt investments (short-term)
Equipment	Accumulated depreciation—equipment
Mortgage payable	Stock investments (long-term)
Copyrights	Salaries and wages payable

Solution

Calculate liquidity and solvency ratios.

3. (LO 2) Maison Inc. reported the following selected information at December 31.

	2027
Total current assets	\$ 43,584

Total assets	278,000
Total current liabilities	32,500
Total liabilities	189,040
Net cash provided by operating activities	48,500

Calculate (a) the current ratio and (b) the debt to assets ratio for December 31, 2027.

[Solution](#)

Practice Exercises

Prepare assets section of a classified balance sheet.

1. (LO 1) Suppose the following information (in thousands of dollars) is available for **H. J. Heinz Company**—famous for ketchup and other fine food products—for the year ended April 30, 2027.

Prepaid insurance	\$ 168,182	Buildings	\$4,344,269
Land	56,007	Cash	617,687
Goodwill	4,411,321	Accounts receivable	1,161,481
Trademarks	723,243	Accumulated depreciation—buildings	2,295,363
Inventory	1,378,216		

Instructions

Prepare the assets section of a classified balance sheet, listing the items in proper sequence and including a statement heading.

[Solution](#)

Compute and interpret various ratios.

2. (LO 2) Suppose the following data were taken from the 2027 and 2026 financial statements of **American Eagle Outfitters**. (All dollars are in thousands.)

	2027	2026
Current assets	\$1,020,834	\$1,189,108
Total assets	1,867,680	1,979,558
Current liabilities	376,178	464,618
Total liabilities	327,216	362,246
Net income	400,019	387,339
Net cash provided by operating activities	464,270	749,268
Capital expenditures	230,407	325,939
Dividends paid on common stock	80,796	61,521
Weighted-average shares outstanding	216,119	222,662

Instructions

Perform each of the following.

- Calculate the current ratio for each year.
- Calculate the debt to assets ratio for each year.
- Discuss American Eagle's solvency in 2027 versus 2026.

[Solution](#)

Practice Problem

Prepare financial statement.

(LO 4) The following are items taken from the income statement and balance sheet of **Bargain Electronics, Inc.** for the year ended December 31, 2027. Certain items have been combined for simplification. (Amounts are given in thousands.)

Notes payable (due in 3 years)	\$ 30.5
Cash	141.1
Salaries and wages expense	2,933.6
Common stock	434.9
Accounts payable	922.2
Accounts receivable	723.3
Equipment, net	921.0
Cost of goods sold	9,501.4
Income taxes payable	7.2
Interest expense	1.5
Mortgage payable	451.5
Retained earnings	1,336.3
Inventory	1,636.5
Sales revenue	12,456.9
Debt investments (short-term)	382.6
Income tax expense	30.5
Goodwill	202.7
Notes payable (due in 6 months)	784.6

Instructions

Prepare an income statement and a classified balance sheet using the items listed. Do not use any item more than once.

[Solution](#)

Brief Exercises, DO IT! Exercises, Exercises, Problems, Data Analytics Activities, and many additional resources are available for practice in the Wiley online course.

Questions

- What is meant by the term operating cycle?
- Define current assets. What basis is used for ordering individual items within the current assets section?
- Distinguish between long-term investments and property, plant, and equipment.
- How do current liabilities differ from long-term liabilities?

- Identify the two parts of stockholders' equity in corporation and indicate the purpose of each.
6. What are some common examples of intangible assets?
- 7.
- Geena Lowe believes that the analysis of financial statements is directed at two characteristics of a company: liquidity and profitability. Is Geena correct? Explain.
 - Are short-term creditors, long-term creditors, and stockholders primarily interested in the same characteristics of a company? Explain.
8. Name ratios useful in assessing (a) liquidity and (b) solvency.
9. Tom Dawes, the founder of Footwear Inc., needs to raise \$500,000 to expand his company's operations. He has been told that raising the money through debt will increase the riskiness of his company much more than issuing stock. He doesn't understand why this is true. Explain it to him.
10. What do these classes of ratios measure?
- Liquidity ratios.
 - Profitability ratios.
 - Solvency ratios.
11. Holding all other factors constant, indicate whether each of the following signals generally good or bad news about a company.
- Increase in the current ratio.
 - Increase in the debt to assets ratio.
12. What was **Apple's** largest current asset, largest current liability, and largest item under "Assets" at September 26, 2020?

Brief Exercises

Classify accounts on a balance sheet.

BE-1 (LO 1), K The following are the major balance sheet classifications.

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

Match each of the following accounts to its proper balance sheet classification.

Accounts payable	Income taxes payable
Accounts receivable	Investment in long-term bonds
Accumulated depreciation	Land
Buildings	Inventory
Cash	Patent
Goodwill	Supplies

Prepare the current assets section of a balance sheet.

BE-2 (LO 1), AP A list of financial statement items for Chin Company includes the following: accounts receivable \$14,000, prepaid insurance \$2,600, cash \$10,400, supplies \$3,800, and debt investments (short-term) \$8,200. Prepare the current assets section of the balance sheet listing the items in the proper sequence.

Identify the order of asset classifications.

BE-3 (LO 1), K Place a number, 1 through 7, in front of each of the following balance sheet categories to designate the order in which they are to be presented in a classified balance sheet.

Long-term investments	Current assets
Current liabilities	Long-term liabilities
Stockholders' equity	Property, plant, and equipment
Intangible assets	

Prepare liability and stockholders' equity section of classified balance sheet.

BE-4 (LO 1), AP Alberta Company had the following account balances on December 31, 2027.

Retained earnings	\$54,500	Common stock	\$76,100
Notes payable	15,000	Interest payable	3,200
Bonds payable	24,000	Accounts payable	8,200

Instructions

Prepare the liability and stockholders' equity section of a classified balance sheet in good form as of December 31, 2027. Assume that \$2,900 of the note payable will be paid during 2028.

Prepare a classified balance sheet.

BE-5 (LO 1), AP Suppose the following items were taken from the 2027 financial statements of **Texas Instruments, Inc.** (All dollars are in millions.)

Common stock	\$2,826	Accumulated depreciation—equipment	\$3,547
Prepaid rent	164		
Equipment	6,705	Accounts payable	1,459
Stock investments (long-term)	637	Patents	2,210
Debt investments (short-term)	1,743	Notes payable (long-term)	810
Income taxes payable	128	Retained earnings	6,896
Cash	1,382	Accounts receivable	1,823
		Inventory	1,202

Instructions

Prepare a classified balance sheet in good form as of December 31, 2027.

Calculate liquidity ratios.

BE-6 (LO 2), AP These selected condensed data are taken from a recent balance sheet of **Bob Evans Farms** (in millions of dollars).

Cash	\$ 29.3
Accounts receivable	20.5
Inventory	28.7
Other current assets	24.0
Total current assets	\$102.5
Total current liabilities	\$201.2

Compute working capital and the current ratio.

Calculate liquidity and solvency ratios.

BE-7 (LO 2), AP Ross Music Inc. reported the following selected information at March 31.

	2027
Total current assets	\$262,787
Total assets	439,832
Total current liabilities	240,625
Total liabilities	376,002
Net cash provided by operating activities	62,300

Calculate (a) the current ratio and (b) the debt to assets ratio.

LO 1 Exercises

Prepare assets section of balance sheet.

DO IT! 2.1a (LO 1) AP Mylar Corporation has collected the following information related to its December 31, 2027, balance sheet.

Accounts receivable	\$22,000	Equipment	\$180,000
Accumulated depreciation—equipment	50,000	Inventory	58,000
Cash	13,000	Supplies	7,000

Prepare the assets section of Mylar Corporation's balance sheet.

Classify financial statement items by balance sheet classification.

DO IT! 2.1b (LO 1) K The following financial statement items were taken from the financial statements of Gomez Corp.

_____ Trademarks	_____ Inventory
_____ Notes payable (due in 4 months)	_____ Accumulated depreciation
_____ Interest revenue	_____ Land
_____ Income taxes payable	_____ Common stock
_____ Debt investments (due in 2 years)	_____ Advertising expense
_____ Unearned sales revenue	_____ Mortgage payable (due in 3 years)

Match each of the financial statement items to its proper balance sheet classification as follows.

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

If the item would not appear on the balance sheet, use "NA."

Compute ratios and analyze.

DO IT! 2.2 (LO 2) AN Listed below are assets and liabilities of Reliable Corporation for the years 2027 and 2026. Each is listed in alphabetical order.

Assets	2027	2026	Liabilities	2027	2026
Accounts receivable	\$ 1,700	\$ 2,400	Accounts payable	\$ 3,900	\$ 3,000
Cash	900	1,200	Bonds payable	31,000	26,000
Equipment (net)	44,000	50,000	Notes payable (current)	2,200	1,600
Inventory	5,700	4,200	Notes payable (long-term)	5,000	4,000
Land	22,000	22,000	Total liabilities	\$42,100	\$34,600
Supplies	400	700			
Total assets	\$72,700	\$80,500			

Reliable reported net income of \$48,000 for 2027 and \$42,000 for 2026.

- Compute total current assets and total current liabilities for each year.
- Compute working capital and the current ratio for each year. (Round to two decimal places.)
- Compute the debt to assets ratio for each year. (Round to two decimal places.)
- Comment on the change in the company's liquidity and solvency.

Exercises

Classify accounts on balance sheet.

DO IT! 2.3 (LO 1) K The following are the major balance sheet classifications.

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

Instructions

Classify each of the following financial statement items taken from Ming Corporation's balance sheet.

_____ Accounts payable	_____ Income taxes payable
_____ Accounts receivable	_____ Inventory
_____ Accumulated depreciation—equipment	_____ Stock investments (to be sold in 7 months)
_____ Buildings	_____ Land (in use)
_____ Cash	_____ Mortgage payable
_____ Interest payable	_____ Supplies
_____ Goodwill	_____ Equipment
_____ Prepaid rent	_____ Prepaid rent

Classify financial statement items by balance sheet classification.

DO IT! 2.4 (LO 1) K The following are the major balance sheet classifications.

Current assets (CA)	Current liabilities (CL)
Long-term investments (LTI)	Long-term liabilities (LTL)
Property, plant, and equipment (PPE)	Stockholders' equity (SE)
Intangible assets (IA)	

Instructions

Classify each of the following financial statement items.

_____ Prepaid advertising	_____ Patents
_____ Equipment	_____ Bonds payable
_____ Trademarks	_____ Common stock
_____ Salaries and wages payable	_____ Accumulated depreciation—equipment
_____ Income taxes payable	_____ Unearned sales revenue
_____ Retained earnings	_____ Inventory
_____ Accounts receivable	_____ Land (held for future use)

Prepare assets section of balance sheet.

DO IT! 2.5 (LO 1) AP Suppose the following items were taken from the December 31, 2027, assets section of the Boeing Company balance sheet. (All dollars are in millions.)

Inventory	\$16,933	Patents	\$12,528
Notes receivable—due after December 31, 2028	5,466	Buildings	21,570
Notes receivable—due before December 31, 2028		Cash	9,215
		Accounts receivable	5,785

December 31, 2028	368	Debt investments (short-term)	2,008
Accumulated depreciation—buildings	12,795		

Instructions

Prepare the assets section of a classified balance sheet, listing the current assets in order of their liquidity.

Prepare assets section of a classified balance sheet.



Ex. 4 (LO 1), AP Suppose the following information (in thousands of dollars) is available for **H. J. Heinz Company**—famous for ketchup and other fine food products—at April 30, 2027.

Prepaid insurance	\$ 125,765	Buildings	\$4,033,369
Land	76,193	Cash	373,445
Goodwill	3,982,954	Accounts receivable	1,171,797
Trademarks	757,907	Accumulated depreciation—buildings	2,131,260
Inventory	1,237,613		

Instructions

Prepare the assets section of a classified balance sheet, listing the items in proper sequence and including a statement heading.

Prepare the assets section of a classified balance sheet, listing the items in proper sequence and including a statement heading.

Prepare a classified balance sheet.

Ex. 5 (LO 1), AP These items are taken from the financial statements of Longhorn Co. at December 31, 2027.

Buildings	\$105,800
Accounts receivable	12,600
Prepaid insurance	3,200
Cash	11,840
Equipment	82,400
Land	61,200
Insurance expense	780
Depreciation expense	5,300
Interest expense	2,600
Common stock	60,000
Retained earnings (January 1, 2027)	40,000
Accumulated depreciation—buildings	45,600
Accounts payable	9,500
Notes payable	93,600
Accumulated depreciation—equipment	18,720
Interest payable	3,600
Service revenue	14,700

Instructions

Prepare a classified balance sheet. Assume that \$13,600 of the note payable will be paid in 2028.

Prepare a classified balance sheet.

Ex. 6 (LO 1), AP The following items are taken from the financial statements of Carmen Co. at December 31, 2027.

Land	\$195,600
Accounts receivable	21,700
Supplies	9,200
Cash	11,840
Equipment	82,400
Buildings	261,200
Land improvements	45,780
Notes receivable (due in 2028)	5,300
Accumulated depreciation—land improvements	12,600
Common stock	75,000
Retained earnings (December 31, 2027)	495,000
Accumulated depreciation—buildings	32,600
Accounts payable	9,500
Mortgage payable	93,600
Accumulated depreciation—equipment	18,720
Interest payable	3,600
Income taxes payable	14,700
Patents	46,700
Investments in stock (long-term)	71,500
Debt investments (short-term)	4,100

Instructions

Prepare a classified balance sheet. Assume that \$9,100 of the mortgage payable will be paid in 2028.

Prepare financial statements.

Prepare financial statements.

Ex. 7 (LO 1), AP These financial statement items are for Fairview Corporation at year-end, July 31, 2027.

Salaries and wages payable	\$ 2,080
Salaries and wages expense	57,500
Supplies expense	15,000
Equipment	18,500
Accounts payable	4,100
Service revenue	66,100
Rent revenue	8,500
Notes payable (due in 2030)	1,800
Common stock	10,000
Cash	29,200
Accounts receivable	9,780
Accumulated depreciation—equipment	6,000
Dividends	4,000
Depreciation expense	4,000
Retained earnings (beginning of the year)	34,000

Instructions

Prepare an income statement and a retained earnings statement for the year. Fairview Corporation did not issue any new stock during the year.

h. Prepare a classified balance sheet at July 31.

Prepare liabilities and stockholders' equity sections.

Ex. 8 (LO 1), AP Randal Inc.'s balance sheet, dated October 28, 2027, includes the following liabilities and stockholders' equity items (in millions).

Accounts payable	\$431.6	Long-term debt	\$1,209.8
Common stock	642.4	Other long-term liabilities	122.6
Current portion of long-term debt	254.9	Retained earnings	979.8
Income taxes payable	14.8	Unearned sales revenue	16.0

Instructions

Prepare the liabilities and stockholders' equity sections of the balance sheet.

Prepare a balance sheet.

Ex. 9 (LO 1), AP The financial statements of Summit Ltd. includes the following items at December 31, 2027.

Accounts receivable	\$ 21,000	Income tax expense	\$ 5,000
Accounts payable	\$ 21,000	Income tax expense	\$ 5,000
Accounts receivable	20,780	Interest expense	4,550
Accumulated depreciation—buildings	50,600	Interest payable	2,100
Accumulated depreciation—equipment	21,470	Land	194,000
Buildings	133,800	Long-term investments	28,970
Cash	24,040	Mortgage payable	104,000
Common stock	140,000	Operating expenses	158,680
Equipment	66,100	Prepaid insurance	1,420
		Retained earnings, January 1	116,520
		Service revenue	183,040
		Supplies	1,240

Instructions

a. Calculate net income and the ending balance of retained earnings at December 31, 2027. It is not necessary to prepare a formal income statement or retained earnings statement.

b. Prepare a balance sheet dated December 31, 2027. Assume that the company will pay \$30,500 of the mortgage payable in 2028.

Prepare financial statements.

Ex. 10 (LO 1), AP The following financial statement items are for Batra Corporation at its fiscal year-end, July 31, 2027.

Operating expenses	\$ 32,500	Interest payable	\$ 1,000
Salaries and wages expense	44,700	Supplies expense	900
Unearned sales revenue	12,000	Dividends declared	12,000
Utilities expense	2,600	Depreciation expense	3,000
Equipment	62,900	Retained earnings, August 1, 2026	17,940
Accounts payable	4,220	Rent expense	10,800
Service revenue	113,600	Income tax expense	5,000
Bank loan payable	18,500	Supplies	1,500
Rent revenue	18,500	Debt investments (short-term)	20,000
Common stock	25,000	Bank loan payable (due December 31, 2027)	21,800
Cash	5,060	Interest expense	2,000
Accounts receivable	17,100		
Accumulated depreciation—equipment	6,000		

Instructions

Prepare an income statement, retained earnings statement, and balance sheet for the year.

Compute liquidity ratios and compare results.

Ex. 11 (LO 2), AP Nordstrom, Inc. operates department stores in numerous states. Selected financial statement data (in millions of dollars) for a recent year follow.

	End of Year	Beginning of Year
Cash and cash equivalents	\$ 72	\$ 358
Receivables (net)	1,942	1,788
Merchandise inventory	900	956
Other current assets	303	259
Total current assets	\$ 3,217	\$ 3,361
Total current liabilities	\$1,601	\$1,635

Instructions

a. Compute working capital and the current ratio at the beginning of the year and at the end of the year.

b. Did Nordstrom's liquidity improve or worsen during the year?

c. Using the data in the chapter, compare Nordstrom's liquidity with that of Best Buy.

Compute liquidity measures and discuss findings.

Ex. 12 (LO 2), AP The chief financial officer (CFO) of Myenke Corporation requested that the accounting department prepare a preliminary balance sheet on December 30, 2027, so that the CFO could get an idea of how the company stood. He knows that certain debt agreements with its creditors require the company to maintain a current ratio of at least 2:1. The preliminary balance sheet is as follows.

Myenke Corp. Balance Sheet December 30, 2027			
Current assets		Current liabilities	
Cash	\$25,000	Accounts payable	\$ 20,000
Accounts receivable	30,000	Salaries and wages payable	10,000
Prepaid insurance	5,000	Long-term liabilities	
Equipment (net)	200,000	Notes payable	50,000
Total assets	\$260,000	Total liabilities	110,000
		Stockholders' equity	
		Common stock	100,000
		Retained earnings	50,000
		Total liabilities and stockholders' equity	\$260,000

Instructions

a. Calculate the current ratio and working capital based on the preliminary balance sheet.

b. Based on the results in (a), the CFO requested that \$20,000 of cash be used to pay off the balance of the Accounts Payable account on December 31, 2027. Calculate the new current ratio and working capital after the company takes these actions.

c. Discuss the pros and cons of the current ratio and working capital as measures of liquidity.

d. Was it unethical for the CFO to take these steps?

Compute and interpret solvency ratios.

Ex. 13 (LO 3), AP Suppose the following data were taken from the 2027 and 2026 financial statements of American Eagle Outfitters. (All numbers, including share data, are in thousands.)

2027	2026
------	------

Current assets	\$ 925,359	\$1,020,834
Total assets	1,963,676	1,867,680
Current liabilities	401,763	376,178
Total liabilities	554,645	527,216
Net income	179,061	400,039

Instructions

Perform each of the following.

- Calculate the current ratio for each year.
- Calculate the debt to assets ratio for each year.
- Discuss American Eagle's solvency in 2027 versus 2026.

Problems

Prepare a classified balance sheet.

Pr.1 (LO 1), AP Suppose the following items are taken from the 2027 balance sheet of **Yahoo! Inc.** (All dollars are in millions.)

Goodwill	\$3,927
Common stock	6,283
Equipment	1,737
Accounts payable	152
Patents	234
Stock investments (long-term)	3,247
Accounts receivable	1,063
Prepaid rent	233
Debt investments (short-term)	1,160
Retained earnings	6,108
Cash	2,292
Notes payable (long-term)	734
Unearned sales revenue	433
Accumulated depreciation—equipment	203

Instructions

Prepare a classified balance sheet for Yahoo! Inc. as of December 31, 2027.

Tot. current assets	\$4,746
Tot. assets	\$13,600

Prepare financial statements.

Pr.2 (LO 1), AP These items are taken from the financial statements of Martin Corporation for 2027.

Retained earnings (beginning of year)	\$31,000
Utilities expense	2,000
Equipment	60,000
Accounts payable	18,300
Cash	10,100
Salaries and wages payable	3,000
Common stock	12,000
Dividends	12,000
Service revenue	68,000
Prepaid insurance	3,500
Maintenance and repairs expense	1,800
Depreciation expense	3,600
Accounts receivable	11,700
Insurance expense	2,200
Salaries and wages expense	37,000
Accumulated depreciation—equipment	17,600

Instructions

Prepare an income statement, a retained earnings statement, and a classified balance sheet as of December 31, 2027.

Net income	\$21,400
Tot. assets	\$73,700

Prepare financial statements.

Pr.3 (LO 1), AP You are provided with the following information for Lazuris Enterprises, effective as of its April 30, 2027, year-end.

Accounts payable	\$ 834
Accounts receivable	810
Accumulated depreciation—equipment	670
Cash	1,270
Common stock	900
Cost of goods sold	1,060
Depreciation expense	335
Dividends	325
Equipment	2,420
Income tax expense	165
Income taxes payable	135
Insurance expense	210
Interest expense	400
Inventory	907
Land	3,100
Mortgage payable	3,500
Notes payable (due March 31, 2028)	61
Prepaid insurance	60
Retained earnings (beginning)	1,600
Salaries and wages expense	700
Salaries and wages payable	222
Sales revenue	5,100
Stock investments (short-term)	1,200

Instructions

a. Prepare an income statement and a retained earnings statement for Lazuris Enterprises for the year ended April 30, 2027.

- a. Net income \$2,230
- b. Prepare a classified balance sheet for Lazuris Enterprises as of April 30, 2027.

b. Tot. current assets	\$4,307
Tot. assets	\$9,157

Compute ratios; comment on relative liquidity and solvency.

P2.4 (LO 2), AN Comparative financial statement data for Loeb Corporation and Bowsh Corporation, two competitors, appear below. All balance sheet data are as of December 31, 2027.

	Loeb Corporation	Bowsh Corporation
	2027	2027
Net sales	\$1,800,000	\$620,000
Cost of goods sold	1,175,000	340,000
Operating expenses	283,000	98,000
Interest expense	9,000	3,800
Income tax expense	85,000	36,000
Current assets	407,200	190,336
Plant assets (net)	532,000	139,728
Current liabilities	66,325	33,716
Long-term liabilities	108,500	40,684

Instructions

- a. Comment on the relative liquidity of the companies by computing working capital and the current ratio for each company for 2027.
- b. Comment on the relative solvency of the companies by computing the debt to assets ratio for each company for 2027.

Compute and interpret liquidity and solvency ratios.

P2.5 (LO 2), AP The following are financial statements of Ohara Company.

Ohara Company Income Statement For the Year Ended December 31, 2027	
Net sales	\$2,218,500
Cost of goods sold	1,012,400
Selling and administrative expenses	906,000
Interest expense	78,000
Income tax expense	69,000
Net income	\$153,100

Ohara Company Balance Sheet December 31, 2027	
Assets	
Current assets	
Cash	\$ 60,100
Debt investments	84,000
Accounts receivable (net)	169,800
Inventory	145,000
Total current assets	\$ 458,900
Plant assets (net)	575,300
Total assets	\$1,034,200
Liabilities and Stockholders' Equity	
Current liabilities	
Accounts payable	\$160,000
Income taxes payable	35,500
Total current liabilities	\$195,500
Bonds payable	200,000
Total liabilities	395,500
Stockholders' equity	
Common stock	350,000
Retained earnings	288,700
Total stockholders' equity	638,700
Total liabilities and stockholders' equity	\$1,034,200

Instructions

- a. Compute the following values and ratios for 2027. (We provide the results from 2026 for comparative purposes.)

- Working capital. (2026: \$160,400)
- Current ratio. (2026: 1.65:1)
- Debt to assets ratio. (2026: 31.0%)

- b. Using your calculations from part (a), discuss changes from 2026 in liquidity and solvency.

Compute and interpret liquidity and solvency ratios.

P2.6 (LO 2), AP Writing Condensed balance sheet and income statement data for Danke Corporation are presented as follows.

Danke Corporation Balance Sheets December 31		
Assets	2027	2026
Cash	\$ 28,000	\$ 20,000
Receivables (net)	70,000	62,000
Other current assets	90,000	73,000
Long-term investments	62,000	60,000
Property, plant, and equipment (net)	530,000	470,000
Total assets	\$760,000	\$685,000
Liabilities and Stockholders' Equity		
Current liabilities	\$ 75,000	\$ 70,000
Long-term liabilities	80,000	90,000
Common stock	330,000	300,000
Retained earnings	275,000	225,000

Total liabilities and stockholders' equity	\$700,000	\$680,000
Danke Corporation		
Income Statements		
For the Years Ended December 31		
	2027	2026
Sales revenue	\$750,000	\$680,000
Cost of goods sold	440,000	400,000
Operating expenses (including income taxes)	240,000	220,000
Net income	\$ 70,000	\$ 60,000

Instructions

Compute these values and ratios for 2026 and 2027.

- Working capital.
- Current ratio.
- Debt to assets ratio.
- Based on the ratios calculated, discuss briefly the improvement or lack thereof in the financial position from 2026 to 2027 of Danke Corporation.

Compute ratios and compare liquidity and solvency for two companies.

P2.7 (LO 2), AP Selected financial data of two competitors, **Target** and **Walmart**, are presented here. (All dollars are in millions.) Suppose the data were taken from the 2027 financial statements of each company.

	Target (1/31/27)	Walmart (1/31/27)
Income Statement Data for Year		
Net sales	\$64,948	\$401,244
Cost of goods sold	44,457	306,158
Selling and administrative expenses	16,389	76,651
Interest expense	894	2,103
Other income	28	4,213
Income taxes	1,322	7,145
Net income	\$ 2,214	\$ 13,400
Balance Sheet Data (End of Year)		
Current assets	\$17,488	\$ 48,949
Noncurrent assets	26,618	114,480
Total assets	\$44,106	\$163,429
Current liabilities	\$19,532	\$ 55,390
Long-term liabilities	19,882	42,754
Total stockholders' equity	13,712	65,285
Total liabilities and stockholders' equity	\$44,106	\$163,429

Instructions

For each company, compute these values and ratios.

- Working capital.
- Current ratio.
- Debt to assets ratio.
- Compare the liquidity and solvency of the two companies.

Expand Your Critical Thinking

Financial Reporting Problem: Apple Inc.

CT2.1 The financial statements of **Apple Inc.** are presented in [Appendix A](#).

Instructions

Answer the following questions using the financial statements and the notes to the financial statements.

- What were Apple's total current assets at September 26, 2020, and September 28, 2019?
- Are the assets included in current assets listed in the proper order? Explain.
- How are Apple's assets classified?
- What were Apple's current liabilities at September 26, 2020, and September 28, 2019?

Comparative Analysis Problem: Columbia Sportswear Company vs. Under Armour, Inc.

CT2.2 The financial statements of **Columbia Sportswear Company** are presented in [Appendix B](#). Financial statements of **Under Armour, Inc** are presented in [Appendix C](#).

Instructions

- For each company, calculate the following values for 2020.
 - Working capital.
 - Current ratio.
 - Debt to assets ratio.
- Based on your findings above, discuss the relative liquidity and solvency of the two companies.

Interpreting Financial Statements

CT2.3 Summarize the following information was reported by **Gap, Inc.**

CT2.3 Suppose the following information was reported by **Gap, Inc.**

	2027	2026	2025	2024	2023
Total assets (millions)	\$7,065	\$7,685	\$7,564	\$7,838	\$8,544
Working capital	\$1,831	\$2,533	\$1,847	\$1,653	\$2,757
Current ratio	1.87:1	2.19:1	1.86:1	1.68:1	2.21:1
Debt to assets ratio	42%	39%	42%	45%	39%

Instructions

- Determine the overall percentage decrease in Gap's total assets from 2023 to 2027. What was the average decrease per year?
- Comment on the change in Gap's liquidity. Does working capital or the current ratio appear to provide a better indication of Gap's liquidity?
- Comment on the change in Gap's solvency during this period.

Real-World Focus

CT2.4 You can use the Internet to identify summary liquidity, solvency, and profitability information about companies, and compare this information across companies in the same industry.

Instructions

Select a well-known company and then go to the **Yahoo! Finance** website to locate information to answer the following questions.

- What is the company's name? What was the company's current ratio and debt to equity ratio (a variation of the debt to assets ratio)?
- What is the company's industry?

c. What is the name of a competitor? What is the competitor's current ratio and its debt to equity ratio?

d. Based on these measures, which company is more liquid? Which company is more solvent?

CTA.5 The Feature Story described the dramatic effect that investment bulletin boards have on the investment world. This exercise will allow you to evaluate a bulletin board discussing a company of your choice.

Instructions

Go to the **Yahoo! Finance** website. Type in a company name (or use the index to find it) and then use the **Conversations** tab to answer the following questions.

- a. What is the nature of each of these messages (e.g., offering advice, criticizing company, predicting future results, ridiculing other people who have posted messages)?
- b. For those messages that expressed an opinion about the company, was evidence provided to support the opinion?
- c. What effect do you think it would have on bulletin board discussions if the participants provided their actual names? Do you think this would be a good policy?

Decision-Making Across the Organization

CTA.6 As a financial analyst in the planning department for Erin Industries, Inc., you must develop ratios from the comparative financial statements. This information is to be used to convince creditors that, despite a slight decline in sales, Erin Industries is liquid and solvent, and it deserves their continued support.

Here are the data requested and the computations developed from the financial statements:

	2027	2026
Current ratio	3:1	2:1
Working capital	Up 22%	Down 7%
Debt to assets ratio	0.60	0.70
Net income	Up 32%	Down 8%

Instructions

Erin Industries asks you to prepare brief comments stating how each of these items supports the argument that its financial health is improving. The company wishes to use these comments to support presentation of data to its creditors. With the class divided into groups, prepare the comments as requested, giving the implications and the limitations of each item regarding Erin's financial well-being.

Communication Activity

CTA.7 B. P. Palmer is the chief executive officer of Future Products. Palmer is an expert engineer but a novice in accounting.

Instructions

Write an email to B. P. Palmer that explains (a) the three main types of ratios; (b) examples of liquidity and solvency ratios, how they are calculated, and what they measure; and (c) the bases for comparison in analyzing Future Products' financial statements.

Ethics Case

CTA.8 At one time, **Boeing** closed a giant deal to acquire another manufacturer, **McDonnell Douglas**. Boeing paid for the acquisition by issuing shares of its own stock to the stockholders of McDonnell Douglas. In order for the deal not to be revoked, the value of Boeing's stock could not decline below a certain level for a number of months after the deal.

During the first half of the year, Boeing suffered significant cost overruns because of inefficiencies in its production methods. Had these problems been disclosed in the quarterly financial statements during the first and second quarters of the year, the company's stock most likely would have plummeted, and the deal would have been revoked. Company managers spent considerable time debating when the bad news should be disclosed. One public relations manager suggested that the company's problems be revealed on the date of either Princess Diana's or Mother Teresa's funeral (both of which occurred in September of that year), in the hope that it would be lost among those big stories that day. Instead, the company waited until October 22 of that year to announce a \$2.6 billion write-off due to cost overruns. Within one week, the company's stock price had fallen 20%, but by this time the McDonnell Douglas deal could not be reversed.

Instructions

Answer the following questions.

- a. Who are the stakeholders in this situation?
- b. What are the ethical issues?
- c. Do you think it is ethical to try to "time" the release of a story so as to diminish its effect?
- d. What would you have done if you were the chief executive officer of Boeing?
- e. Boeing's top management maintains that it did not have an obligation to reveal its problems during the first half of the year. What implications does this have for investors and analysts who follow Boeing's stock?

All About You

CTA.9 Every company needs to plan in order to move forward. Its top management must consider where it wants the company to be in 3 to 5 years. Like a company, you need to think about where you want to be 3 to 5 years from now, and you need to start taking steps now in order to get there.

Instructions

Provide responses to each of the following items.

- a. Where would you like to be working in 3 to 5 years? Describe your plan for getting there by identifying 5 to 10 specific steps that you need to take in order to get there.
- b. In order to get the job you want, you will need a résumé. Your résumé is the equivalent of a company's annual report. It needs to provide relevant and representationally faithful information about your past accomplishments so that employers can decide whether to "invest" in you. Do a search on the Internet to find a good résumé format. What are the basic elements of a résumé?
- c. A company's annual report provides information about a company's accomplishments. In order for investors to use the annual report, the information must provide a faithful representation; that is, users must have faith that the information is accurate and believable. How can you provide assurance that the information on your résumé is a faithful representation of your accomplishments?
- d. Prepare a résumé assuming that you have accomplished the 5 to 10 specific steps you identified in part (a). Also, provide evidence that would give assurance that the information is a faithful representation of your accomplishments.

Considering Environmental, Social, and Governance Reporting

CTA.10 Auditors provide a type of certification of corporate financial statements. Certification is used in many other aspects of business as well. For example, it plays a critical role in the sustainability movement. An article by Angus Chen, entitled "Do Sustainable Certifications for Coffee Really Help the Coffee Growers," discusses the role of certification in the coffee business.

Instructions

Search and read the article online, and then answer the following questions.

- a. The article mentions different certification types that coffee growers can obtain from different certification bodies. Using financial reporting as an example, what potential problems might the existence of multiple certification types present to coffee purchasers?
- b. What social and environmental benefits are coffee certifications trying to achieve? Are there also potential financial benefits to the parties involved?